USDA UNDERWRITING GUIDELINES

- HB-1-3555 Single Family Housing Guaranteed Loan Program Technical Handbook – Do not use consolidated version, as it has not been updated since March 2016
- Single Family Housing Quick Reference provides an index to the Handbook location of frequently requested information
- Subscribe to receive USDA updates
- Procedures Notices

OVERLAYS

AUTOMATED UNDERWRITING SYSTEM

For Flagstar underwritten loans, due to system constraints, unless Flagstar has sponsored a lender, Flagstar must run GUS findings.

CLOSING

- Borrowers may not close in trust
- Note must reflect a late fee of 5%

CREDIT REPORTS

For Flagstar underwritten loans where the customer has not been sponsored by Flagstar to run GUS, Credco credit report required for purchase and rate and term refinance transactions. Credit reports for Streamlined Assist loans need not be from Credco. For additional information, see *Processes and Procedures* section.

CREDIT SCORES

Minimum Credit Score:

- Purchase 1-Unit: 580
- Refinance 1-Unit: 580
- Streamline-Assist 1 Unit: 580

ENERGY EFFICIENT ITEMS AND REPAIRS

Repairs, including energy efficient improvements may not be financed into the loan amount.

ESCROW HOLDBACKS

- Allowed only a case by cases basis only for exterior property repairs that cannot be completed due to inclement weather
- Closing documents must be prepared through Flagstar's Web-Based Closing Documents (WBCD) and all repair escrows for Flagstar-underwritten loans are held by Flagstar
- Two bids required

POWER OF ATTORNEY

- Powers of Attorney may not be e-signed

PROPERTY ELIGIBILITY

INELIGIBLE

- Properties located in American Samoa, Guam, The Commonwealth of the Northern Mariana Islands and Puerto Rico
- Manufactured homes
- Properties located in Hawaiian Homelands.

PROCESSES AND PROCEDURES

4506-C

- If the 4506-C transcripts do not match the borrower's income and the borrower is a victim of taxpayer identification theft, the following conditions must be met in order to validate the borrower's income:
  - Proof of identification theft as evidenced by one of the following:
    - Proof ID theft was reported to and received by the IRS (IRS form 14039) OR
    - Copy of notification from the IRS alerting the taxpayer to possible identification theft
  - In addition to one of the documents above, all applicable documents below must be provided:
    - W2 or 1099 transcripts which match the W2 or 1099 income shown on the 1040s
    - 1099 mortgage interest must match the reported interest on Schedule A or Schedule E
    - 1099G unemployment must match the reported amount of unemployment
    - 1099 dividend and interest income must match the reported dividend and interest
    - Validation of prior tax year's income (income for current year must be in line with prior years)

APPRAISAL

PORTABILITY

- To transfer a Flagstar appraisal to another lender, refer to the Transfer Appraisal From Flagstar to another lender section of *Conventional Underwriting Guidelines*
- Appraisals already performed for a case number that was subsequently transferred to Flagstar must be emailed in .pdf format to appraisal.review@flagstar.com by one of the following:
  - The original lender to whom the loan was initially submitted or
  - The appraisal management company providing the appraisal or
  - The appraiser

PROPERTY ADDRESSES

The property addresses on the appraisal, mortgage, note, flood certification and in Loantrac must be identical. However, abbreviation of "Street," "Road," etc. is acceptable, even if "Street" or "Road" is fully spelled in another document. This is the only acceptable variance.

- Use the standardized USPS address unless the address in the legal description on the title commitment differs. If the legal address differs, use the legal address
- Appraisers are required to state the USPS address as the property address on the first line of the appraisal. If the legal address differs from the USPS address, the appraiser must reference the legal address in a comment on the appraisal or an addendum to the appraisal

<u>CLOSING REQUIREMENTS</u>

- Interest credit allowed - Loan must close by the 7th calendar day of the month preceding the first payment date
- All conditions must be collected and provided in the closing package
  - Down payment assistance funds are typically wired to the closing agent – Wire transfer documentation must be included in the file prior to funding or purchase
- Any changes to the terms of USDA's commitment must be reviewed by underwriter and USDA prior to closing and disbursing loan
- Principal reductions are required when the total of lender and/or seller credits reflected on the Closing Disclosure exceeds the total of the actual closing costs, pre-paid expenses and discount points
- Principal reductions are required when the borrower receives any cash back at a purchase transaction closing
  - Documented funds paid by the borrower for EMD only may be refunded to the borrower at closing
- Closing documents must be signed and notarized on or before the closing date indicated on the closing documents, regardless of the state in which the property is located and/or whether it's an escrow state

ESCROW STATES

- Arizona
- California
- Colorado
- Hawaii
- Idaho
- Montana
- Nevada
- New Mexico
- Oregon
- Utah
- Washington
- Wyoming

NOTARY POLICY

Refer to the Notary Policy stated in *Settlement/Closing Requirements,* Doc. #4601

<u>CONFLICT OF INTEREST</u>

Transactions in which the realtor and the originator are the same individual are ineligible.

<u>CREDIT REPORTS</u>

For Flagstar underwritten loans where the customer has not been sponsored by Flagstar to run GUS, if the credit report provided at loan submission is not a Credco credit report, the underwriter will order one. The information, including credit scores, on the Credco credit report will be used to underwrite the loan.

DE CUSTOMERS ONLY

- Credit report must contain Office of Foreign Assets Control (OFAC) screening

- If credit report indicates a potential OFAC match, the credit report must be e-mailed to delegated.underwriting@flagstar.com for review by Flagstar Bank's Secrecy Act Compliance Department – The loan may not close without clearance from Flagstar's BSA Department (violation of this policy is a federal crime)

DOWN PAYMENT

All community second and grant programs must be Flagstar-eligible - Refer to *Gift/Grant Programs,* Doc. #5935 or *Community Seconds Programs,* Doc. #5932.

ELECTRONIC SIGNATURES

- Electronic signatures are permitted for all USDA loan documents except the following:
  - Powers of Attorney
  - Note and Mortgage

ESCROWS

- Escrow waivers not allowed
- Escrows are required for all of the following:
  - Real estate taxes
  - Monthly mortgage insurance premiums
  - Hazard insurance premiums, including flood insurance, wind insurance, etc.
  - Special assessments
  - Ground rents
- Generally, property tax escrows for all new construction properties must be calculated based on the fully assessed property value. Obtain actual tax amounts from the local tax assessor's office. If the new construction property taxes charged by the municipality will not be based on the fully improved property within 12 months of closing, escrows may be based on one of the following. Regardless of assessment dates, ratios and reserves must be calculated based on the fully assessed property value:
  - Lot only; or
  - A partial assessment; or
  - Actual or estimated amount based on fully assessed value
- The Closing Department will require the borrower(s) to confirm that once the property is fully assessed, they are aware of the potential escrow shortage
- For purchases of new and existing properties in California only, property taxes may be calculated using 1.25% of the purchase price or the actual tax rate

ESCROW HOLDBACKS

- Allowed on a case by cases basis only for exterior property repairs that cannot be completed due to inclement weather
- Fully executed *Escrow Holdback Agreement*, Doc. #3655 required in closing package

INSURANCE

HAZARD INSURANCE

Hazard Insurance Requirements, Doc. #4602

FLOOD INSURANCE

- *Flood Insurance - Broker & Non Delegated Correspondent,* Doc. #4603 or *Flood Insurance - Delegated Correspondent*, Doc. #4603-A.
- Eligible Flood Provider Companies- FEMA Flood Insurance Company List
- Private flood insurance meeting the requirements of the Biggert-Waters Flood Insurance Reform Act of 2012, however, all improvements, including detached structures must be insured.
- Flood insurance must cover the lesser of the outstanding principal balance of the loan or the maximum amount of coverage allowed under FEMA's National Flood Insurance Program (NFIP). Unless a higher amount is allowed by state or federal law (which includes FEMA policies), the maximum deductible clause for a flood insurance policy should not exceed the greater of $1,000, or one percent of the face amount of the policy, or the minimum deductible offered by the borrowers chosen insurance carrier.

LOAN TERM

30 year fixed rate mortgage

NET TANGIBLE BENEFIT

A net tangible benefit form must be completed when required by the state.

POWER OF ATTORNEY

- All signatures on the power of attorney must be notarized, and the power of attorney must be reviewed by a Flagstar underwriter. All signatures must match the signatures in the file
- Unless the POA is a military Durable POA, the POA must be specific to Flagstar Bank's loan and indicate the property address
- POA is not allowed for single borrower transactions unless Flagstar Bank has borrower experience and the underwriter can compare signatures from previous transaction(s)

REFINANCE TRANSACTIONS

Pooling Restrictions for Streamlined Refinance and Cash-Out Refinance Loans:

- Must meet the following seasoning requirements when the being paid off is a government loan (FHA, VA or USDA); and
- The borrower must of made at least six consecutive monthly payments on the loan being refinanced, beginning with the date the payment was made for the first payment due date; and
- The first payment due date of the refinance loan occurs no earlier than 210 days after the first payment due date of the initial loan.

TITLE

Effective date of title commitment must be no older than 90 days as of initial underwrite and within 120 days of the note.

ENERGY LOAN TAX ASSESSMENT PROGRAM (ELTAP) LIENS

Not permitted

UNEXPIRED RIGHTS OF REDEMPTION – ALL STATES EXCEPT ALABAMA

- Unless the property is located in the State of Alabama, Flagstar will not approve and/or purchase any loan having an unexpired right of redemption unless the purchase agreement, title and appraisal all show the same seller who is the original mortgagor
    - Title may show *lis pendens* notices from the bank or mortgagee
- Purchase contract may indicate a short sale

- Unexpired Rights of Redemption – Alabama Only
    - Purchase agreement, title and appraisal will be in the name of the lender and not the original mortgagor.
    - Title commitment will show one or both of the following acceptable recorded deeds:
        - Foreclosure from John Doe (original mortgagor) to Anybank (foreclosing lender) followed by the date on the deed and the recording date
        - When the foreclosing lender deeds the property to HUD, Fannie Mae, Freddie Mac, VA or GNMA, there will be a special warranty deed from Anybank (foreclosing lender) to one of the GSEs listed above followed by the date on the deed and the recording date
    - If the above referenced deeds are dated within the most recent 12 months, the title commitment must contain a specific exception for the unexpired right of redemption and affirmatively insure, without qualification, the mortgagee (Flagstar Bank) against all losses arising out of the exercise of any outstanding right of redemption

UNDERWRITING TURN TIMES

Current underwriting turn times are posted on Flagstar's website.